

SUBVERTICAL LENS

Installed residential equipment and protection plans convert essential household needs into recurring monthly billing. Pricing, premium-equipment mix and cross-sell support growth, while equipment exchange and reinstallation remain the central sustaining-capital burden. [DR pp. 23-28]

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	5%	We use 5% because Enercare grew revenue 6% in 9M 2018 despite unit growth of only 0.6%, with pricing and mix doing most of the work. Reliance's low-single-digit customer growth before acquisitions supports a mature organic rate below the disclosed Enercare result. Source: DR pp. 7, 18, 24, 26.	MEDIUM
EBITDA margin	53%	We use 53% just below Enercare's disclosed 56% margin because recurring water-heater rentals carry strong contribution, while Reliance's broader HVAC, technician, dispatch and transactional-service mix should dilute the pure rental result. Source: DR pp. 18-19, 24, 26.	MEDIUM
Maintenance capex / revenue	12%	We use 12% to reflect recurring equipment replacement, removal and reinstallation: Enercare exchanged 33,600 assets in 9M 2018 and found used water heaters uneconomic to redeploy, while Reliance cites 14-16-year equipment lives. Neither company provides a clean sustaining-capex split. Source: DR pp. 10, 19, 24, 26.	MEDIUM
Customer tenor INITIAL / EFFECTIVE	Initial / effective 7-10 / 18 yrs	Certain Reliance Ontario forms support a 7-10-year initial term. We model 18 years as a normalized effective-tenure assumption because billing can continue monthly, equipment can be replaced at the same address and Enercare reported 1.9% rental attrition over nine months; it is not an observed cohort life. Source: DR pp. 8, 15, 25, 27.	MEDIUM
Utilization exposure	Low-Moderate	We classify exposure as Low-Moderate because an installed unit earns fixed monthly rent regardless of household usage. The residual risk is account vacancy, equipment removal and seasonal technician or installer capacity rather than consumption volume. Source: DR pp. 25, 27.	HIGH
New-unit / customer payback	8 yrs	We use eight years by triangulating Reliance's C\$1,000-C\$5,500 installed cost against C\$20-C\$100-plus monthly rent, then allowing for installation, service and replacement reserves. Direct unit contribution is undisclosed. Source: DR pp. 8, 11, 21, 25, 27.	MEDIUM
B2B vs B2C	Predominantly B2C	We classify the model as predominantly B2C because roughly 95% of Enercare's rental portfolio was residential water heaters and Reliance primarily markets to homeowners. Builders and property managers may originate accounts, but households remain the economic center. Source: DR pp. 13, 15, 25, 27.	HIGH

SUBSECTOR CATEGORIES		Diversified home comfort Reliance Home Comfort	Rental-led equipment & plans Enercare
Reliance Home Comfort		DIVERSIFIED HOME COMFORT Evidence. Acquired in 2017 at about C\$4.6 billion enterprise value, Reliance grew from 1.8 million customers to 2.1 million by end-2023 and made two U.S. acquisitions in 2025. Certain Ontario forms show 7-10-year minimums, 14-16-year heater lives, included installation, repair and replacement, and illustrative listed rents of C\$20-C\$100+ per month. [DR pp. 1-11] Business. Reliance Comfort Limited Partnership serves more than 2 million customers, mainly in Ontario, with reported western Canadian, Georgia, and Florida operations. It rents and sells water heaters and HVAC and offers water purification, plumbing, electrical, smart-home, and protection plans. Economics. Analyst interpretation. The core unit is an installed asset at a residential address; plans and one-time jobs are separate units. Reliance funds equipment and installation, retains ownership, bills monthly, provides repair and replacement, and operates technicians, dispatch, and call centers. Essentiality, installation, budget smoothing, transfers, and replacement convenience support retention; moves, buyouts, switching, poor service, repricing, purchase, and technology migration drive churn. Used water heaters have limited redeployment value, so the address relationship is the key residual asset.	ENERCARE Evidence. In 9M 2018, contracted revenue was C\$332.0 million of C\$359.8 million total, EBITDA margin was 56%, units grew 0.6%, and 33.6 thousand assets were exchanged. Rental attrition was 1.9% versus 9.3% for plans. HVAC rentals generated three to five times heater revenue. Current post-privatization segment data are unavailable. [DR pp. 12-23] Business. Enercare is an Ontario-centric platform serving about 1.1 million customers. The relevant business is Home Services, excluding former Service Experts and submetering. It rents water heaters, HVAC, and water-treatment equipment, sells plans, and performs equipment sales and service, offering predictable cost and outsourced continuity for essential systems. Economics. Analyst interpretation. The core unit is an installed rental unit, about 95% residential water heaters historically; plans and one-time HVAC jobs are separate. Rentals were 73% of 2017 revenue and plans 20%. Heaters require little scheduled maintenance; HVAC and plans use more field labor. Ownership, installation, response, and buyout or useful-life terms support retention; moves, buyouts, switching, repricing, and poor service cause churn. Used water heaters are replaced rather than redeployed, making exchanges sustaining capital and allowing relationships to continue through replacement.

KEY DILIGENCE QUESTIONS	1 Separate recurring rentals and protection plans from one-time sales, service and acquisition-led growth.	2 Validate gross additions, attrition, exchange volume and direct service cost by cohort.	3 Test which installation spending is sustaining replacement rather than true growth capex.
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